

THE BOARD OF DIRECTORS OF THE NAIROBI SECURITIES EXCHANGE LIMITED (NSE) IS PLEASED TO ANNOUNCE THE AUDITED GROUP RESULTS FOR THE YEAR ENDED 31 DECEMBER 2016

SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER	2016 Kshs '000	2015 Kshs '000
Revenue	527,164	663,903
Interest income	94,766	101,010
Other income	95,255	43,344
Total income	717,185	808,257
Administrative expenses	(487,291)	(448,323)
Share of profit of associate company	3,221	21,560
Profit before taxation	233,115	381,494
Taxation charge	(49,159)	(75,902)
Profit for the year	183,956	305,592
Other comprehensive income	(202)	61
Total comprehensive income for the year	183,754	305,653
 Earnings Per Share* - Basic and diluted (Kshs)	 0.71	 1.18
*No. of shares adjusted for bonus issue in the year	259,500,791	259,500,791

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER	2016 Kshs '000	2015 Kshs '000
Assets		
Non current assets	1,004,550	990,822
Current assets	1,009,195	927,413
Total assets	2,013,745	1,918,235
Equity and liabilities		
Share capital	1,038,003	778,500
Share premium	277,185	277,185
Revenue reserves	547,852	718,753
Other reserves	(475)	(185)
Revaluation reserves	580	504
Non current liabilities	12,904	11,619
Current liabilities	137,696	131,859
Total shareholders' funds and liabilities	2,013,745	1,918,235

SUMMARY CONSOLIDATED STATEMENT OF CASHFLOWS FOR THE YEAR ENDED 31 DECEMBER	2016 Kshs '000	2015 Kshs '000
Cash flows from operating activities		
Cash generated from operations	220,572	49,595
Tax paid	(24,641)	(158,646)
Net cash generated from/(used in) operating activities	195,931	(109,051)
Net cash generated from/(used in) investing activities	347,091	(191,714)
Net cash used in financing activities	(92,375)	(73,859)
Increase/(decrease) in cash and cash equivalents	450,647	(374,624)
Cash and cash equivalents at the beginning of the year	28,712	403,336
Cash and cash equivalents at the end of the year	479,359	28,712

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER	Share capital Kshs '000	Share premium Kshs '000	Revaluation and Other reserves Kshs '000	Retained earnings Kshs '000	Total Kshs '000
At 1 January 2015	778,500	277,185	270	487,107	1,543,062
Total comprehensive income for the year	-	-	61	305,592	305,653
Transfer of excess depreciation	-	-	(17)	17	-
Deferred tax on transfer of excess depreciation	-	-	5	(5)	-
2014 dividend declared in the year	-	-	-	(73,958)	(73,958)
At 31 December 2015	778,500	277,185	319	718,753	1,774,757
Total comprehensive income for the year	-	-	(202)	183,956	183,754
Transfer of excess depreciation	-	-	(17)	17	-
Deferred tax on transfer of excess depreciation	-	-	5	(5)	-
Bonus issue	259,503	-	-	(259,503)	-
2015 dividend declared in the year	-	-	-	(95,366)	(95,366)
At 31 December 2016	1,038,003	277,185	105	547,852	1,863,145

FINANCIAL HIGHLIGHTS

- Total income decreased by 11.3% from Kshs. 808.3 million in 2015 to Kshs. 717.2 million in 2016. This was driven mainly by the 30% decrease in equity turnover from Kshs. 419 billion in 2015 to Kshs. 294 billion in 2016. Equity trading volumes which contributes 50% to the Group's total revenue decreased by 15% from 6.8 billion in 2015 to 5.8 billion in 2016. Interest income declined by 6% from Kshs. 101 million to Kshs. 95 million due to prevailing lower interest rates on deposits held in the year compared to 2015. Other income increased by 120% from Kshs. 43 million to Kshs. 95 million mainly driven by a gain of Kshs. 27 million from the sale of investment in shares and higher market access fees on the admission of a new member.
- Administrative expenses increased marginally by 9% from Kshs. 448.3 million to Kshs. 487.3 million owing to cost management measures undertaken.
- Profit before income tax and after tax decreased by 40% mainly due to the decline in equity turnover.
- Total assets increased nominally by 5% from Kshs. 1,918 million in 2015 to Kshs. 2,014 million in 2016.

INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF NAIROBI SECURITIES EXCHANGE LIMITED ON THE SUMMARY FINANCIAL STATEMENTS

The accompanying summary financial statements of Nairobi Securities Exchange Limited (the "Company"/NSE/ the "Exchange") and its subsidiary and structured entities (together, the "Group"), which comprise the summary consolidated statement of financial position at 31 December 2016 and the summary consolidated statements of profit or loss and other comprehensive income, changes in equity and cash flows for the year then ended, have been derived from the financial statements of Nairobi Securities Exchange Limited for the year ended 31 December 2016.

We have audited the financial statements of Nairobi Securities Exchange Limited for the year ended 31 December 2016, from which these summary financial statements were derived, in accordance with International Standards on Auditing. In our report dated 23 March 2017, we expressed an unqualified opinion on the financial statements from which the summary financial statements were derived.

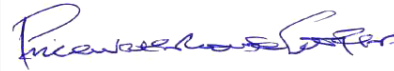
For a better understanding of the Group's and Company's financial position and the results of its operations for the year and of the scope of our audit, the summary financial statements should be read in conjunction with the financial statements from which the summary financial statements were derived and our audit report thereon.

The directors are responsible for the preparation of these summary financial statements.

Our responsibility is to express an opinion on the summary financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810, 'Engagements to report on summary financial statements'.

In our opinion, the accompanying summary financial statements are consistent, in all material respects, with the financial statements from which they were derived.

The engagement partner responsible for the audit resulting in this independent auditor's report is FCPA Richard Njoroge – P/No 1244.



Certified Public Accountants
Nairobi, Kenya

23 March 2017

EXPLANATORY NOTES

The above summary financial statements are extracts of the audited financial results of the Group which comprises the Nairobi Securities Exchange (NSE) Limited, the subsidiary NSE Clear Limited, the structured entities, the NSE Derivatives Settlement Guarantee Fund and NSE Derivatives Investor Protection Fund and the interest of the NSE in an associate company. The structured entities were established on 19 July 2015. The accounting policies used in preparing these audited financial statements are consistent and should be read in conjunction with those used for the annual financial statements for the year ended 31 December 2016.

OUTLOOK FOR 2017

The Company remains committed to ensuring shareholder value through continuous product innovation and technology enhancements. In the course of the year, we will broaden our product offerings through introduction of products geared towards matching the needs of our investors such as Exchange Traded Funds, Derivatives contracts and Global Depository receipts.

The Company will also be leveraging on the enhanced legislative environment geared towards increasing liquidity which has seen the introduction of a Market Making framework and Securities Lending and Borrowing regulations which are expected to be in place in the course of the year.

Sustainability is core to our current Corporate Strategy and the exchange actively supports sustainable business practices and the full adoption of enhanced corporate governance standards in the capital market sector.

ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of the Nairobi Securities Exchange Limited will be held on 26 May 2017 at the Kenyatta International Conference Centre (KICC).

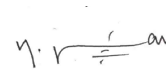
DIVIDENDS

The above results notwithstanding, the Directors recommend to increase the dividend payout ratio by 8.5% to 40% (2015 - 31.5%) and hence the payment of a first and final dividend for the year 2016 of Kshs. 0.27 per ordinary share (2015 - Kshs. 0.49 per ordinary share). The dividend is subject to shareholders' approval at the Annual General Meeting. The payment is subject to withholding tax, where applicable and will be paid by 15 July 2017 to members on the register at the close of business on 26 May 2017.

MESSAGE FROM THE DIRECTORS

These are extracts from the financial statements of the Group which have been audited by PricewaterhouseCoopers and have received an unqualified opinion. A full set of these financial statements will be availed at our registered office at The Exchange, 55 Westlands Road and online at www.nse.co.ke for inspection after approval by shareholders at the Annual General Meeting.

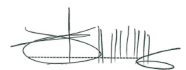
The financial statements were approved and authorised for issue by the Board of Directors on 23 March 2017 and were signed on its behalf by:



Mr. Samuel Kimani
Chairman



Dr. Winnie Nyamute
Director



Mr. Geoffrey O. Odundo
Chief Executive